1. Companies, competition and your opening answer

KOHC Financial Analysis | FY2021-FY2025 | Updated viva guide

We compare Kohat Cement with Lucky Cement, D.G. Khan Cement, Maple Leaf Cement and Fauji Cement using audited unconsolidated accounts, official PSX year-end closing prices and one standardized definition per measure. The workbook retains 27 measures, including all 19 mandatory ratios, 675 company-year results, 135 sample means and 54 charts.

Company	Business and the point to remember
KOHC - Kohat Cement	Main company; grey and white cement. Strong latest margins and recorded liquidity; slower inventory movement and no applicable FY dividends need discussion.
LUCK - Lucky Cement	Cement and clinker producer/exporter with Karachi and Pezu operations. Investments influence standalone earnings. FY2025 has a five-for-one share split.
DGKC - D.G. Khan Cement	Ordinary Portland and sulphate-resistant cement. A FY2023 tax-related loss is followed by a sharp earnings recovery.
MLCF - Maple Leaf Cement	Grey and white cement; Kohinoor Maple Leaf Group. Large stores/spares balances and FY2025 subsidiary dividend/investment income affect interpretation.
FCCL - Fauji Cement	Fauji/Askari cement brands and specialist products. The Askari merger changes the business perimeter between FY2021 and FY2022.

The sector context is mixed

KOHC's FY2025 industry review reports domestic cement dispatches down 2.7%, exports up 29.5% and total dispatches up 2.3%. A company can improve profit through cost control or financing relief while local demand remains weak. Do not describe the whole period as a simple demand boom.

How to explain a number in the viva

State the ratio and period; identify which numerator and denominator changed; trace the statement line and note; cross-check a related ratio; then explain the implication and a limitation. A supported numerical driver is stronger evidence than an unsupported general story.

Amounts in the case studies are PKR billion unless stated; formula-sheet NWC is PKR million and per-share amounts are rupees. D-H are FY2021-FY2025. Hidden column I holds FY2020 openings: inventory I54 and receivables I20.

Group: Abdullah Khan Sherwani - ERP 27880; Immaduddin Durrani - ERP 29204; Raahin Tajuddin - ERP 29207; Zuhair Merchant - ERP 29021; Arba - ERP 32571

Evidence: Latest submission Overview; official company profiles/products; KOHC FY2025 directors' report, printed pp 24-25. Prepared 27 October 2026. No workbook calculation was changed.

2. One consolidated formula sheet

CA = current assets; CL = current liabilities; IBD = interest-bearing debt principal plus leases; PAT = profit after levy/tax. Averages are (opening + closing)/2. Ratios retain full precision in Excel.

Measure	Standardized formula / basis	KOHC FY2025
1. Current Ratio	CA / CL	3.31x
2. Quick Ratio	(CA - inventory) / CL	2.67x
3. Cash Ratio	Available cash equivalents / CL	0.12x
4. Net Working Capital	CA - CL	26,953.09
5. Inventory Turnover	COGS / average inventory	3.02x
6. Receivables Turnover	Net sales / average net receivables	19.74x
7. Days Inventory Outstanding	365 / inventory turnover	120.67 days
8. Days Sales Outstanding	365 x average net receivables / sales	18.49 days
9. Fixed Asset Turnover	Sales / closing net PPE including CWIP	1.61x
10. Total Asset Turnover	Sales / closing total assets	0.56x
11. Debt Ratio	Total liabilities / total assets	28.20%
12. Debt-to-Equity	IBD / closing common equity	0.05x
13. Debt-to-Capital	IBD / (IBD + common equity)	4.47%
14. Times Interest Earned	EBIT / expensed interest	58.96x
15. Gross Profit Margin	Gross profit / sales	39.22%
16. Operating / EBIT Margin	EBIT / sales	48.10%
17. Net Profit Margin	PAT / sales	30.84%
18. Return on Assets	PAT / closing total assets	17.33%
19. Return on Equity	PAT / closing common equity	24.14%
20. Return on Invested Capital	EBIT x (1 - actual ETR) / (IBD + equity)	23.46%
21. Basic Earning Power	EBIT / closing total assets	27.03%
22. Earnings per Share	PAT / compatible weighted shares	59.84
23. Book Value per Share	Common equity / closing ordinary shares	260.82
24. Price-to-Earnings	Official PSX close / compatible EPS	6.34x
25. Market-to-Book	Official PSX close / compatible BVPS	1.45x
26. Dividend Yield	FY cash DPS / official PSX close	0.00%
27. EV/EBITDA	(Market equity + IBD + other claims - cash) / EBITDA	3.65x

EBIT = pre-levy/pre-tax profit + expensed interest, including other income. ETR = (levy + income-tax expense) / pre-levy/pre-tax profit, uncapped. EBITDA = EBIT + audited depreciation/amortization. Available audited cash equivalents are used; book financing is the EV debt-value proxy.

Qualification: the existing KOHC debt classification retains PKR3.704884m of FY2025 short-term accrued mark-up despite nil principal utilization; D/E, debt-to-capital and ROIC remain qualified. These are preserved workbook figures, not an assertion that this known issue has been corrected.

3. All 27 measures: FY2025 comparison

Measure	KOHC	LUCK	DGKC	MLCF	FCCL	Mean
Current Ratio	3.31x	1.71x	1.85x	1.53x	1.32x	1.95x
Quick Ratio	2.67x	1.29x	1.06x	0.81x	0.68x	1.30x
Cash Ratio	0.12x	1.09x	0.05x	0.07x	0.08x	0.28x
Net Working Capital	26,953.09	41,905.98	21,997.12	12,422.11	9,835.07	22,622.67
Inventory Turnover	3.02x	3.43x	2.62x	2.79x	3.16x	3.00x
Receivables Turnover	19.74x	18.74x	61.22x	15.67x	14.28x	25.93x
Days Inventory Outstanding	120.67 days	106.54 days	139.29 days	130.99 days	115.47 days	122.59 days
Days Sales Outstanding	18.49 days	19.47 days	5.96 days	23.29 days	25.56 days	18.55 days
Fixed Asset Turnover	1.61x	1.16x	0.93x	1.10x	0.81x	1.12x
Total Asset Turnover	0.56x	0.47x	0.49x	0.58x	0.55x	0.53x
Debt Ratio	28.20%	34.05%	35.13%	40.00%	47.61%	37.00%
Debt-to-Equity	0.05x	0.10x	0.23x	0.20x	0.48x	0.21x
Debt-to-Capital	4.47%	9.06%	18.79%	16.95%	32.21%	16.30%
Times Interest Earned	58.96x	36.69x	4.41x	7.35x	4.79x	22.44x
Gross Profit Margin	39.22%	34.28%	25.74%	34.44%	35.49%	33.84%
Operating / EBIT Margin	48.10%	39.07%	23.40%	36.38%	30.58%	35.50%
Net Profit Margin	30.84%	26.58%	12.07%	24.71%	14.98%	21.83%
Return on Assets	17.33%	12.41%	5.94%	14.30%	8.29%	11.65%
Return on Equity	24.14%	18.81%	9.16%	23.84%	15.81%	18.35%
Return on Invested Capital	23.46%	17.59%	9.63%	22.92%	13.55%	17.43%
Basic Earning Power	27.03%	18.24%	11.53%	21.06%	16.91%	18.95%
Earnings per Share	59.84	22.59	19.80	16.26	5.43	24.79
Book Value per Share	260.82	120.08	216.08	68.22	34.36	139.91
Price-to-Earnings	6.34x	15.73x	8.36x	5.18x	8.22x	8.77x
Market-to-Book	1.45x	2.96x	0.77x	1.24x	1.30x	1.54x
Dividend Yield	0.00%	1.13%	1.21%	0.00%	2.80%	1.03%
EV/EBITDA	3.65x	8.53x	4.52x	3.44x	4.58x	4.95x

What this comparison establishes

KOHC leads liquidity cover, latest margins and interest coverage. LUCK leads cash cover and inventory turnover; DGKC has the lowest DSO; MLCF leads total-asset turnover; FCCL has the highest FY2025 Dividend Yield. There is no single winner for every objective.

Mean = equal-weight five-company benchmark including KOHC, not the whole industry. Raw EPS/BVPS levels are not size-neutral quality rankings and LUCK's split limits comparisons of denominations. NWC is an absolute amount. Genuine zeros count; n/m does not.

4. Methodology and accounting notes to defend

Choice	Reason and implication
Unconsolidated accounts	Keep the same reporting boundary. Parent accounts include investment assets and subsidiary dividends; consolidated accounts combine subsidiary activity and eliminate intra-group dividends.
Balance timing	Inventory and receivables use opening/closing averages. PPE, assets, equity and invested capital use closing balances. Do not silently swap conventions to reproduce an issuer ratio.
Inventory / PPE	Inventory includes stores, spares and stock-in-trade. Quick ratio removes that whole inventory amount. PPE includes CWIP, which may not yet generate sales.
Debt / interest / cash	Debt Ratio uses all liabilities. D/E uses principal and leases, excluding interest-free financing and accrued interest by policy, subject to the disclosed KOHC implementation issue. TIE uses expensed interest, not total finance cost, capitalized interest or cash paid. Cash uses audited qualifying available components.
Actual taxation / ROIC	Use the actual uncapped ETR, including levy. A tax rate over 100% can produce negative NOPAT; do not cap it to create a positive ROIC.
PSX / share bases	Last official session on/before June 30. LUCK split trading: 28-Apr-2025; KOHC: 25-Aug-2025, after FY2025. Prices, EPS, BVPS and DPS must use compatible units.
n/m / averages / charts	The project display rule marks negative/non-meaningful observations n/m; signed accounting inputs remain. Means exclude n/m but include numeric zeros. Chart gaps for n/m are intentional.

Company-specific notes

KOHC: FY2020 has an immaterial one-rupee footing difference. The separate accrued mark-up issue remains disclosed. LUCK: retain the note-supported PKR0.400m deferred-tax correction and PKR10.653m amortization. Its published ROE may use comprehensive income, while ours uses PAT.

DGKC: FY2021-FY2023 NWC deficits are real; FY2023 loss/tax effects are retained. MLCF: freight reclassification can move cost from COGS to distribution, changing gross margin without the same change in operating profit; related operating supplier payables are not automatically debt. FCCL: merger comparatives, interest-free funding and capitalized interest require care.

Audit: 437 of 455 published comparisons are numerically reconstructed; 18 retain qualified differences. Eight concern FCCL asset-turnover inconsistencies; the remaining exact published bases are unconfirmed where stated. Earlier 63-case forensic records remain in the Audit. Do not force agreement with hardcoded figures.

5. Liquidity: investigate the inventory gap

1. Why was MLCF current cover 1.25x but quick cover only 0.29x in FY2022?

CA was 20.322, CL 16.193 and inventory 15.549. Current cover = 20.322/16.193 = 1.25x. Removing inventory leaves 4.773 of quick assets: 4.773/16.193 = 0.29x. Inventory represented 76.5% of CA. This is a high reliance on inventory within recorded short-term resources.

Trace: MLCF E111:E112 -> E24, E48 and E54; E54 = E18 + E19.

The inventory note is essential: 12.854 was stores/spares/tools, 2.696 was stock-in-trade, and only 0.514 was finished goods. Inventory turnover was 2.64x, or 138 days. The gap supports an inventory-dependence explanation, but it does not prove future sales or that all stock was unsold cement.

2. Does a widening current-quick gap always mean stockpiling?

No. DGKC's gap widened from 0.63x to 0.79x in FY2024-FY2025 while inventory rose only 1.2% (20.253 -> 20.495). CL fell 19.6% (32.226 -> 25.911). Current cover improved 1.30x -> 1.85x and quick cover 0.67x -> 1.06x. The smaller denominator mainly explains the wider gap.

Trace: DGKC G:H rows 48,54,111,112. CR - QR = inventory / CL.

3. How can KOHC quick cover be 2.67x but cash cover only 0.12x?

KOHC has 26.942 of short-term investments versus 1.451 cash/bank balances. Quick assets are broader than audited qualifying cash equivalents. Do not call all quick assets instantly spendable cash. Conversely, LUCK's audited cash equivalents include 61.298 of qualifying investments plus 2.790 bank cash, giving 64.088 and cash cover of 1.09x.

Trace: Rows 21-22 and 113; cash workings below the ratio table. LUCK FY2025 note 36.2.

A strong oral answer

"I would first reconcile the mathematical gap, then inspect the inventory note to separate fuel/stores, raw materials, work-in-process and finished goods. I would compare turnover and actual dispatches before deciding whether the balance reflects production needs, slow movement or anticipated demand."

Evidence: MLCF FY2022 notes 25-26, printed p 231; LUCK FY2025 note 36.2, printed p 273; latest company sheets. Potential causes without official confirmation remain hypotheses.

6. KOHC: inventory and receivable warning signs

4. Why did inventory turnover worsen when total inventory fell?

FY2024-FY2025 turnover fell 3.60x -> 3.02x and DIO rose 102 -> 121 days. Average inventory fell only 1.0% (7.618 -> 7.542), while cost of sales fell 16.7% (27.391 -> 22.814). The numerator contracted much faster than the denominator.

Trace: KOHC G:H rows 54,65,116,118. The turnover denominator uses the preceding closing balance too.

Inventory component	FY2024	FY2025	What it tells us
Stores and spares	5.786	4.991	Declined
Stock-in-trade	1.794	2.514	Increased about 40%
Work-in-process within stock	0.723	1.313	Increased about 82%
Finished goods within stock	0.671	0.776	Increased about 16%
Total inventory	7.579	7.505	Small fall masks a mix change

Cement dispatches fell about 10%. Higher WIP/finished goods alongside weaker dispatches deserves investigation. However, a lower cost of sales also mechanically lowers turnover; this is not a pure physical-volume measure and does not prove obsolete inventory.

5. Why did DSO rise although closing receivables declined?

Closing net receivables fell 2.110 -> 1.692, but average receivables rose 1.658 -> 1.901. Sales fell 38.648 -> 37.536. DSO therefore rose 15.66 -> 18.49 days. The high FY2024 close becomes the FY2025 opening, so looking only at the latest balance misses the actual denominator.

Trace: KOHC F20:H20; sales row 64; receivables turnover 117 and DSO119.

The loss allowance also increased from 0.0416 to 0.0857. A fall in net receivables cannot automatically be described entirely as cash collection. Read gross receivables, allowance movement and ageing. Net sales is the consistent credit-sales proxy, so DSO is not a verified invoice-by-invoice collection period.

Evidence: KOHC FY2025 notes 18-20.1 and operating-performance discussion, printed pp 24-25,99-100. Inventory and receivable calculations use unrounded workbook inputs.

7. KOHC: stronger profits despite weaker sales

6. Why did profit rise when revenue fell?

Sales declined 2.9%, but cost of sales declined 16.7%. Gross profit rose 30.8%; gross margin increased 29.13% ->39.22%. PAT rose 8.893 ->11.575 and net margin 23.01% ->30.84%. The financial explanation is that costs fell faster than revenue.

Trace: KOHC G:H rows 64-79; gross margin 128 and net margin 130.

PKR billion	FY2024	FY2025
Sales	38.648	37.536
Cost of sales, positive magnitude	27.391	22.814
Gross profit	11.256	14.722
Other income	4.454	5.281
Profit after tax	8.893	11.575

Management links the improvement to coal/fuel management and renewable-energy efficiency. Dispatches nevertheless fell 10%, so "stronger demand" would be the wrong explanation for KOHC's latest profit improvement.

7. Why is EBIT margin 48.10%, above gross margin 39.22%?

The selected EBIT measure includes recognized other income. Core operating profit before other income is 12.816, or 34.14% of sales; other income is 5.281. The full EBIT margin should not be called a pure cement-manufacturing margin.

Trace: Rows 71-73,82,128-129. EBIT is reconstructed consistently from pre-levy/pre-tax profit plus expensed interest.

8. Why did interest coverage jump 22.32x ->58.96x?

EBIT rose 25.2% from 14.422 to 18.053, while expensed interest fell 52.6% from 0.646 to 0.306. Both changes improve TIE. This is strong accounting earnings cover, but it is not coverage of principal repayments or proof of equivalent cash generation.

Trace: Rows 82,85,126. Full finance cost, cash interest paid and expensed interest are different numbers.

Management implication

Preserve the cost gains, investigate slower stock conversion and monitor collection quality. Strong margins do not remove working-capital or investment funding needs. Read the cash-flow statement before recommending distributions.

Evidence: KOHC FY2025 directors' report, printed pp 24-25; income statement and finance-cost notes. Business explanations are management-supported; no quantified attribution to individual initiatives is invented.

8. MLCF and DGKC: earnings quality and recovery

9. Why did MLCF profit more than triple on only 3.7% sales growth?

FY2024-FY2025 PAT rose 5.273 ->17.036 (about 223%); net margin 7.93% ->24.71%. Other income rose 0.238 ->8.463. Note 39 includes 6.660 dividend income, of which 6.401 came from Maple Leaf Power, plus 1.694 unrealised investment gains. Core operating performance also improved, but the whole profit jump is not cement-sales growth.

Trace: MLCF G:H rows 64,71-73,79,130,132; FY2025 note 39.

A subsidiary dividend received in parent accounts differs from a dividend paid to MLCF shareholders. Thus MLCF can record dividend income while its shareholder Dividend Yield remains zero. In consolidated accounts, intra-group dividends are eliminated.

10. How did DGKC make a FY2023 loss after positive pre-tax profit?

Pre-levy/pre-tax profit was 3.163, combined levy/tax 6.799 and the net loss 3.636. The actual ETR was 214.97%. The report explains increased deferred-tax liability linked to super tax and expired tax credits; high interest had already reduced pre-tax profit. Do not replace the loss with zero or cap the tax rate.

Trace: DGKC F76:F79 and F86. Earnings/return n/m displays retain signed underlying figures.

DGKC also had CA39.027 below CL48.676: a real 9.649 working-capital deficit. Its liquidity deficit and its tax-driven net loss are distinct issues; do not use one as an automatic explanation of the other.

11. Why did DGKC P/E collapse while its price rose?

FY2024-FY2025 price roseRs 90.27 ->Rs 165.56, but EPS grewRs 1.24 ->Rs 19.80. P/E fell 72.92x ->8.36x because earnings recovered much faster than price. Gross margin improved 15.94% ->25.74%; interest fell 7.925 ->3.817 and TIE improved 1.36x ->4.41x. The old earnings base was unusually small.

Trace: DGKC G:H rows 85,105,126,128,136,138.

A lower P/E here is not evidence that the price declined, nor proof of undervaluation. Check whether the recovered earnings are sustainable.

Evidence: MLCF FY2025 note 39, printed p 264; DGKC FY2023 financial-performance review, printed p 104; latest standardized statement inputs and ratio tables.

9. FCCL and LUCK: denominator and share effects

12. Why did FCCL ratios weaken although sales and profit grew?

FY2021-FY2022 assets rose 34.052 ->113.698 and sales 24.271 ->54.243, while current cover fell 2.02x ->1.06x, ROA10.19% ->6.26% and TIE56.45x ->12.58x. The Askari amalgamation was effective 1 July 2021. Note 1.3 states FY2021 comparatives were not revised and represent the pre-acquisition business.

Trace: FCCL D:E rows 25,55,64,79,85,111,126,131; FY2022 note 1.3, printed pp 190-191.

This is a change in business perimeter. Growth is not wholly organic, and ratio deterioration does not automatically demonstrate an equivalent collapse in management quality. Assets and financing obligations expanded faster than the earnings needed to maintain the earlier ratios.

13. Can FCCL D/E fall even when debt rises?

Yes. FY2024-FY2025 IBD increased 36.590 ->40.036 (9.4%), while equity increased 73.399 ->84.272 (14.8%). D/E therefore fell 0.50x ->0.48x. Lower leverage as a proportion does not necessarily mean absolute debt repayment.

Trace: FCCL G:H rows 55,29 and 124.

14. Did LUCK EPS collapse fromRs 94.54 toRs 22.59?

No. The five-for-one split changes the share unit. Put FY2024 on the same post-split unit:94.54/5 =Rs 18.91. Comparable EPS rose 18.91 ->22.59, while PAT rose 28.107 ->33.092. BVPS and raw prices also require denomination care. LUCK split trading began 28 April 2025.

Trace: LUCK G:H rows 79,103-105,136-138; share-basis disclosures and Overview.

15. Why did LUCK ROE slip despite higher profit?

PAT rose 17.7%, but closing equity grew 19.1% from 147.761 to 175.910. ROE therefore eased 19.02% ->18.81%. Returns depend on the earnings and the capital base together.

Trace: LUCK G:H rows 79,29,132. Closing equity is the project convention.

The broader lesson

Always ask whether the business perimeter, asset base, funding mix or number of shares changed before attributing a ratio movement to sales performance. The same arithmetic direction can have very different economic explanations.

Evidence: FCCL FY2022 note 1.3; audited share and equity records; official PSX corporate-action evidence retained in the Audit. No retrospective KOHC FY2025 split adjustment is applied.

10. Dividends, decisions and final viva checks

FY2025	DPS (Rs)	PSX close (Rs)	Dividend Yield
KOHC	0.00	379.36	0.00%
LUCK	4.00	355.24	1.13%
DGKC	2.00	165.56	1.21%
MLCF	0.00	84.28	0.00%
FCCL	1.25	44.67	2.80%

16. Can yield fall while the dividend rises?

FCCL DPS roseRs 1.00 ->Rs 1.25, but price roseRs 22.91 ->Rs 44.67. Yield fell 4.36% ->2.80% because price grew faster. Dividend Yield is DPS divided by the matching year-end share price, not the growth rate in the dividend.

17. Why is KOHC yield zero when the cash flow deducts dividends?

The project attributes dividends to financial years, including applicable final proposals. Payments may settle old liabilities. FY2025 cash dividends ofPKR3.158m match the fall in dividend payable from 36.835m to 33.677m. This does not establish a new FY2025 dividend. Management cites investments and buyback activity in its no-dividend decision.

Trace: KOHC rows 45,98,106,140; FY2025 dividend-payable note and directors' report.

Verified zero years: KOHC and MLCF FY2021-FY2025; LUCK FY2021-FY2022; DGKC FY2023-FY2024; FCCL FY2021-FY2023. All 17 observations remain numeric zero and count in the means. FY2025 mean yield is 1.03%, including the two zeros.

Decisions you can defend

KOHC: preserve margins and investigate stock/receivables before recommending payout. LUCK: distinguish cement operations, investment income and split effects. DGKC: examine financing relief, tax and the sustainability of recovery. MLCF: separate recurring operations from dividend/fair-value income. FCCL: assess merger comparability, expansion funding and debt service alongside its dividend.

Short answers to common challenges

A current ratio of 2 is a classroom reference, not a verified cement-sector target. Quick cover below 1 identifies reliance on other funding/assets, not automatic insolvency. High ROE may reflect leverage or a small equity base. ROIC alone does not prove value creation without a compatible required return. Low multiples do not prove a bargain. n/m is not zero. The mean of company DIO is not 365 divided by mean turnover.

The known KOHC mark-up classification qualification and 18 published differences remain disclosed; this guide does not certify them away. The Excel was not edited to prepare this PDF. The full 41-page report and unchanged Audit retain detailed methodology and reconciliation evidence.

Evidence: Official audited reports and PSX evidence retained in the Audit. Report portals: kohatcement.com/financial_reports.aspx; lucky-cement.com; dgcement.com; kmlg.com/mlcfl/financials; fccl.com.pk/eng/financial-reports. Detailed case references appear on pp 5-9.